

Principles of Macroeconomics

Markets, Output, Prices & Policy — Introductory Module

Sample coursework material — for product demonstration purposes.

Chapter 1 — What Is Macroeconomics?

Macroeconomics studies the economy as a whole — the total output a country produces, the general level of prices, the rate of unemployment, and the growth of the economy over time. It contrasts with microeconomics, which studies the decisions of individual households and firms.

Because macroeconomic conditions affect everyone — interest rates, job availability, the price of groceries — governments and central banks devote significant attention to measuring and steering these aggregate outcomes through fiscal and monetary policy, which later chapters explore in detail.

Chapter 2 — Supply, Demand, and Market Equilibrium

The demand curve shows how much of a good buyers are willing to purchase at each price — typically, the lower the price, the more buyers want. The supply curve shows how much producers are willing to sell at each price — typically, the higher the price, the more producers want to supply.

The point where these two curves intersect is the market equilibrium: the price at which the quantity buyers want to purchase exactly matches the quantity sellers want to provide, with no persistent surplus or shortage. If the price is pushed above equilibrium, a surplus develops as supply outpaces demand; if it is pushed below, a shortage develops as demand outpaces supply. Markets tend to move back toward equilibrium unless something interferes with prices, such as a government-imposed price ceiling or floor.

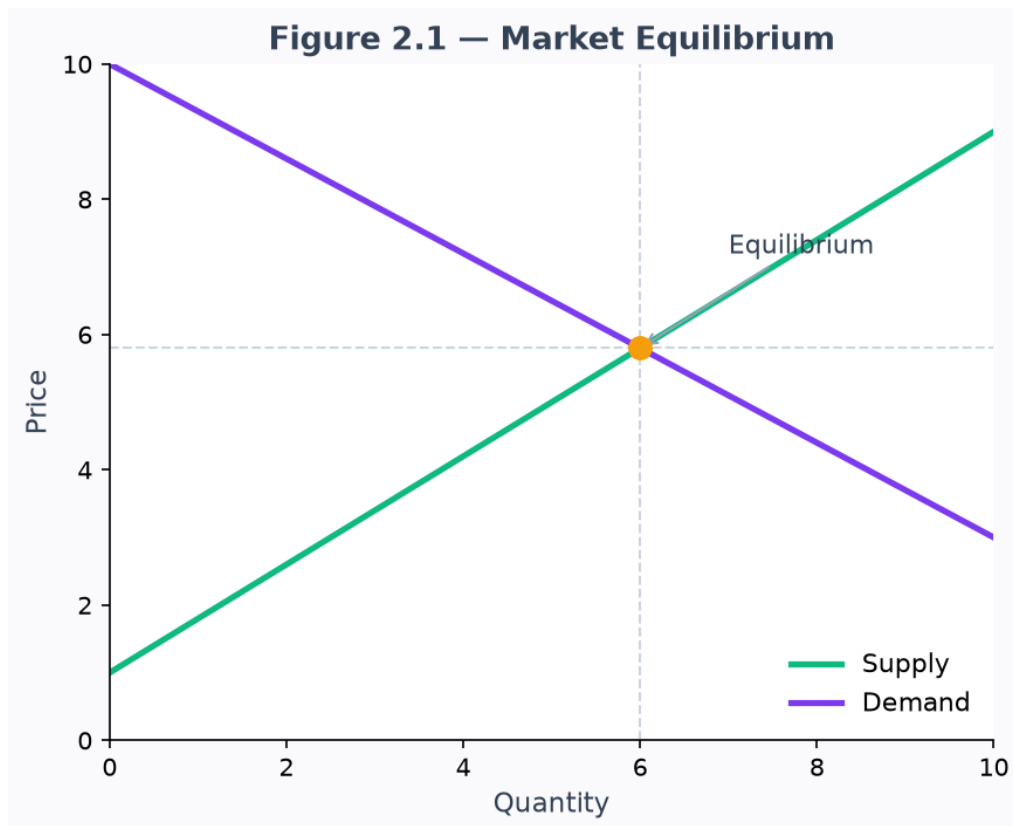


Figure 2.1 — Market equilibrium is the price and quantity at which the supply and demand curves intersect.

Chapter 3 — Gross Domestic Product (GDP)

Gross Domestic Product measures the total market value of all final goods and services produced within a country in a given period. It is the single most widely used gauge of an economy's overall size and health.

GDP can be measured in three equivalent ways: by adding up total spending (consumption, investment, government purchases, and net exports), by adding up total income earned in production, or by summing the value added at each stage of production. Economists distinguish nominal GDP, measured in current prices, from real GDP, which adjusts for inflation and therefore better reflects actual changes in output over time.

Chapter 4 — Inflation and the Cost of Living

Inflation is the rate at which the general price level rises over time, eroding the purchasing power of money — the same amount of currency buys fewer goods and services than it used to. It is most commonly tracked using the Consumer Price Index (CPI), which follows the cost of a fixed basket of everyday goods and services.

Moderate, predictable inflation is generally considered healthy for an economy, encouraging spending and investment rather than hoarding cash. But high or unpredictable inflation erodes savings, distorts long-term planning, and — in extreme cases known as hyperinflation — can destroy confidence in a currency entirely.

Chapter 5 — Unemployment and the Labor Market

The unemployment rate measures the share of people actively seeking work who cannot find a job. Economists distinguish several types: frictional unemployment, the short-term gap while workers search for a suitable position; structural unemployment, caused by a mismatch between workers' skills and available jobs; and cyclical unemployment, which rises and falls with the broader business cycle.

Full employment does not mean zero unemployment — some frictional and structural unemployment persists even in a healthy economy. Instead, economists focus on keeping cyclical unemployment low, since it reflects an economy producing below its potential.

Chapter 6 — Fiscal and Monetary Policy Tools

Fiscal policy refers to a government's use of spending and taxation to influence the economy. Increasing government spending or cutting taxes injects money into the economy to stimulate demand during a downturn; raising taxes or cutting spending can cool an overheating economy.

Monetary policy, typically carried out by a central bank, controls the money supply and interest rates. Lowering interest rates makes borrowing cheaper, encouraging spending and investment; raising rates does the opposite, helping to rein in inflation. Together, fiscal and monetary policy are the two primary levers governments use to smooth out the highs and lows of the business cycle.